

# Notes on Christiano et al. (2005)

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**Motivation** Observed inflation inertia and aggregate quantity persistence.

**Research question** Can models with moderate degrees of nominal rigidities generate inertial inflation and persistent output movements in response to a monetary policy shock?

**Consequences of MP shock** After an expansionary monetary policy shock:

- (a) output, consumption, and investment respond in a hump-shaped fashion, peaking after about one and a half years and returning to preshock levels after about three years;
- (b) inflation responds in a hump-shaped fashion, peaking after about two years;
- (c) the interest rate falls for roughly one year;
- (d) real profits, real wages and labour productivity rise; and
- (e) the growth rate of money rises immediately.

## **Model**

- (a) Firm, still, is doing recursive optimization problem with continuation value: Choose its price to maximize the expected continuation value under this price.
- (b) Money supply is the sum of cash balance and debt.

## References

**Christiano, Lawrence J, Martin Eichenbaum, and Charles L Evans**, “Nominal Rigidities and the Dynamic Effects of a Shock to Monetary Policy,” 2005, *113* (1), 1–45.